

6,366

MILLION TONNES

Expected freight demand in 2026, according to the National Rail Plan

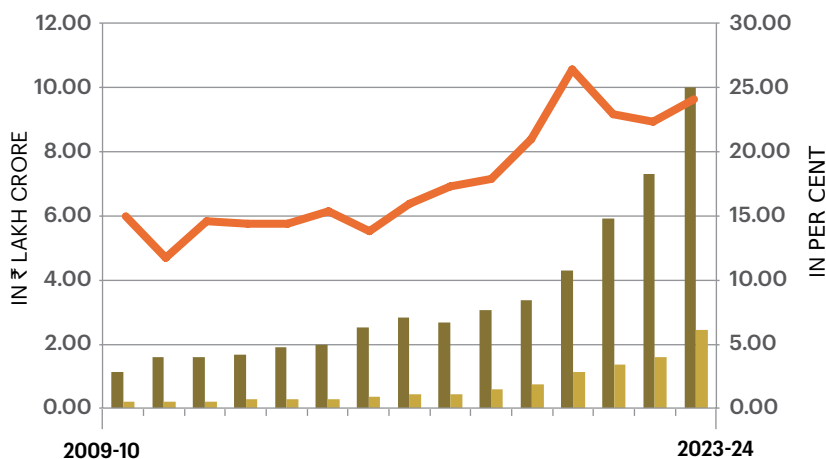
12,214

MILLION

Expected number of passengers in 2031, per NRP

OF PARAMOUNT IMPORTANCE

- The government's focus on railways has increased over the years
- The railway ministry got a budgetary allocation of ₹2.4 lakh crore in 2023-24, which is 24.10 per cent of the overall capex for the year



● TOTAL CAPITAL EXPENDITURE (LHS) ● ALLOCATION TO MINISTRY OF RAILWAYS (LHS) ● PERCENTAGE OF CAPEX ALLOCATED (RHS)

DATA FOR 2023-24 ARE BUDGET ESTIMATES (BE), DATA FOR 2022-23 ARE REVISED ESTIMATES **SOURCE** CMIE ECONOMIC OUTLOOK

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the stock's subdued performance over the past year. This has introduced uncertainty into the market, affecting investor sentiment, they add. "Due to the significant re-rating in the stock price, IRCTC valuations were expensive. Also, the OFS (offer for sale) from the government played a dampener," says Sidhartha Bhaiya, Founder and Chief Investment Officer of Aequitas Investment Consulting.

The central government had offloaded 5 per cent stake in the company through an OFS—at a floor price that was 7.4 per cent below its market price—in December last year. But Santosh Meena, Head of Research at Swastika Investmart, says that IRCTC shares continue to command higher valuations. This mismatch can be attributed to the unique nature of the

company, which is not a traditional infrastructure player like others, but rather a tech-driven firm with a customer focus, and underpinned by an infrastructure play. "IRCTC enjoys a near monopoly in the online railway ticket booking business, setting it apart from the rest of the railways sector," says Meena, adding that the company's performance is only expected to improve when factors like increased demand for online railway tickets and announcements of new trains are considered.

THE JOURNEY AHEAD

The exemplary performance of railways-focussed firms is just the beginning, with significant potential for further growth over the next five to seven years, analysts

say. "Talks of mergers in the sector, aimed at achieving cost savings and improved efficiency, are also doing the rounds," says Meena.

Of late, the announcement of a multinational rail and port deal connecting Europe and South Asia through the Middle East, discussed at the recent G20 Summit in New Delhi, has further fuelled the positive sentiment in the market. This involves building a new shipping and rail route connecting the three regions, with support from the US, India, Saudi Arabia, the UAE, EU, and other G20 partners. "Global developments, such as the India-Middle East-Europe Corridor announced at the G20 summit, and plans for a Bhutan-India railway network, hold promise for the industry's growth," Meena explains.

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